Microeconomics
Course Code: Hum 2101

Lecture 4: Changes in Demand & Supply

FACTORS AFFECTING THE DEMAND CURVE

- **Average income:** As incomes rise, people increase car purchases.
- **Population or Size of the market:** A growth in population increases car purchases.
- **Prices of related goods:** Lower gasoline prices raise car demand.
- **Tastes:** Having a new car becomes a status symbol.
- **Special influences:** Special influences include the availability of alternative forms of transportation, the safety of automobiles, expectations of future price increases, etc.

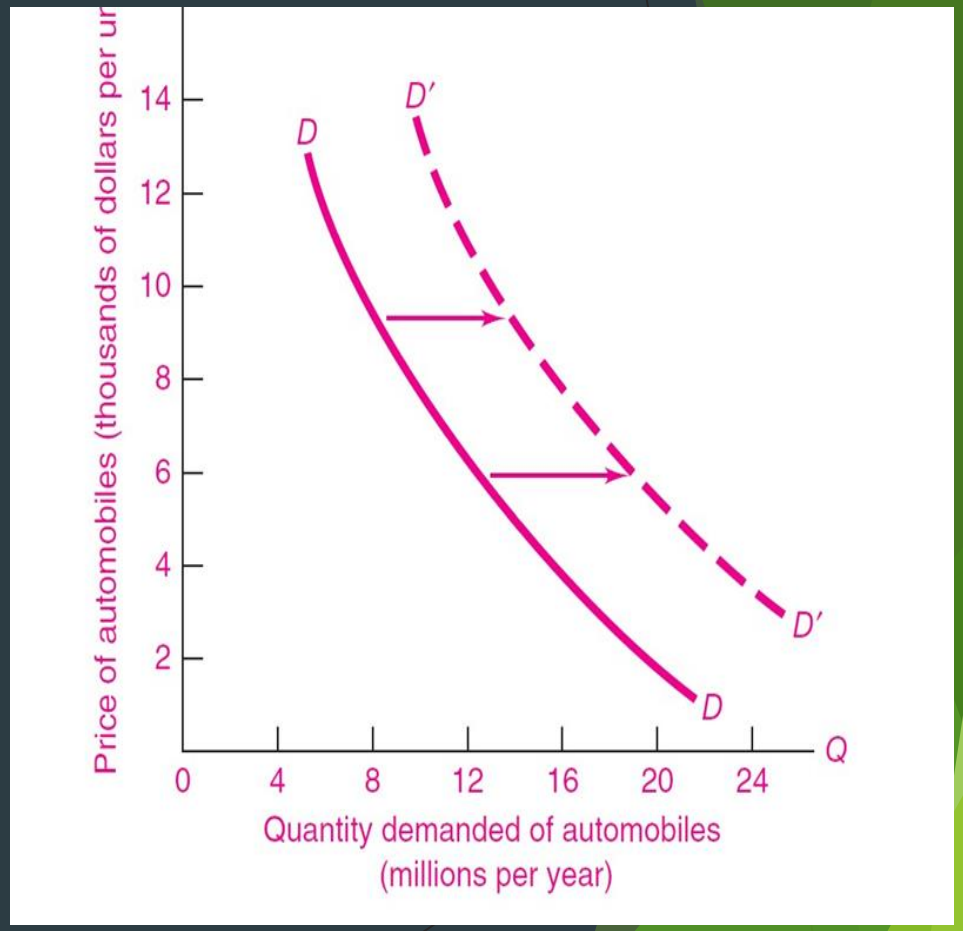
SHIFTS IN DEMAND

When there are changes in factors other than a good's own price which affect the quantity purchased, we call these changes shifts in demand. Demand increases (or decreases) when the quantity demanded at each price increases (or decreases).

SHIFTS IN DEMAND

Here we see the effect of rising average income, increased population, and lower gasoline prices on automobile demand. We call this shift of the demand curve an increase in demand.

Note that the shift means more cars will be bought at every price.

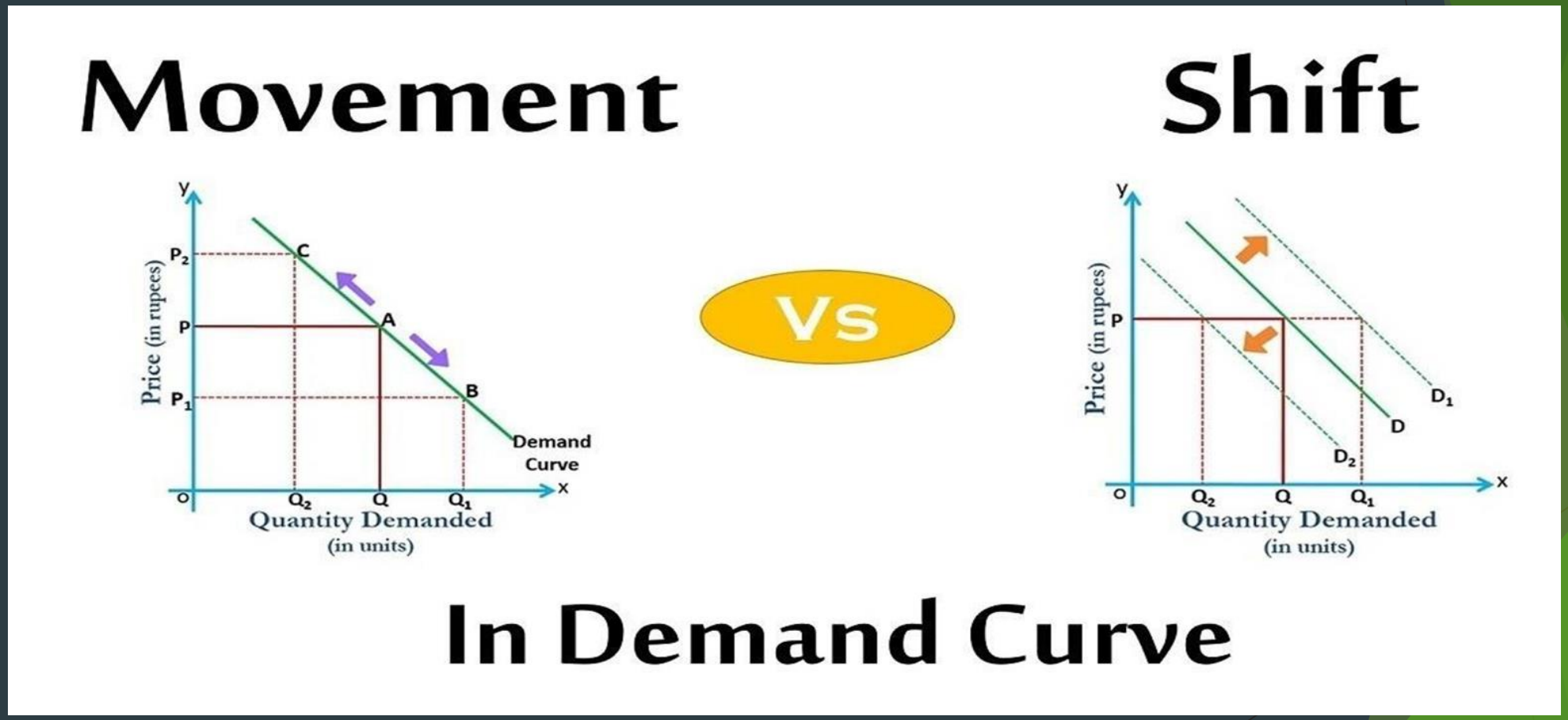


SHIFTS IN DEMAND

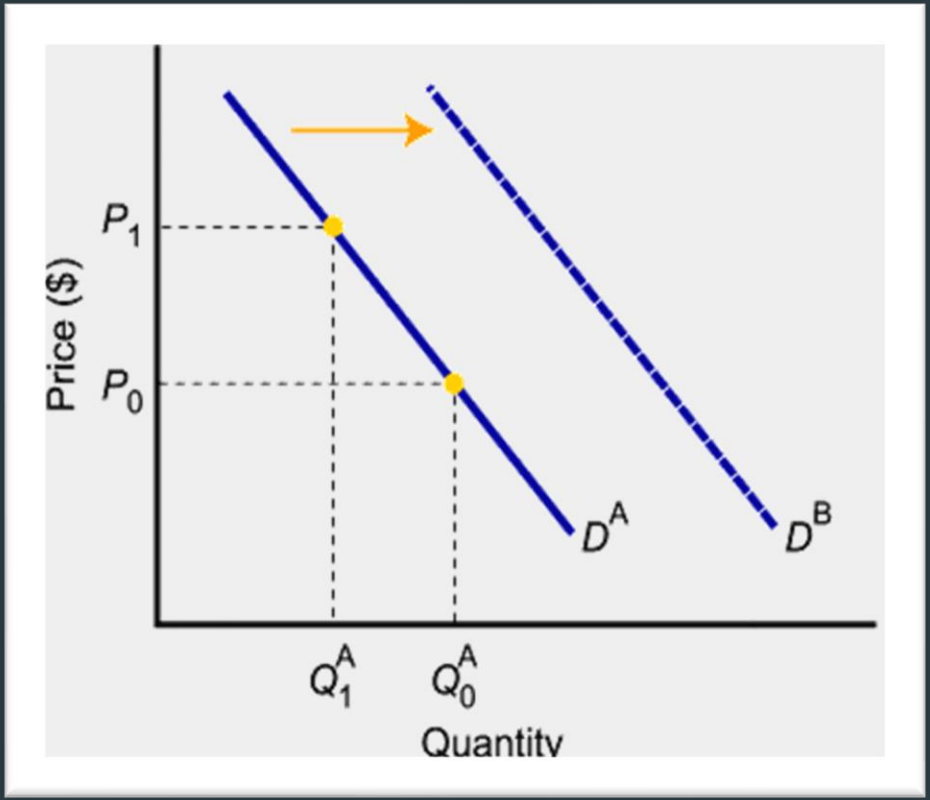
YOU CAN TEST YOURSELF BY ANSWERING THE FOLLOWING QUESTIONS:

- WILL A WARM WINTER SHIFT THE DEMAND CURVE FOR HEATING OIL LEFTWARD OR RIGHTWARD? WHY?
- WHAT WILL HAPPEN TO THE DEMAND FOR BASEBALL TICKETS IF YOUNG PEOPLE LOSE INTEREST IN BASEBALL AND WATCH BASKETBALL INSTEAD?
- WHAT WILL A SHARP FALL IN THE PRICE OF PERSONAL COMPUTERS DO TO THE DEMAND FOR TYPEWRITERS?
- WHAT HAPPENS TO THE DEMAND FOR A COLLEGE EDUCATION IF WAGES ARE FALLING FOR BLUE-COLLAR JOBS WHILE SALARIES FOR COLLEGE-EDUCATED WORKERS ARE RISING RAPIDLY?

MOVEMENTS ALONG CURVES VERSUS SHIFTS OF CURVES

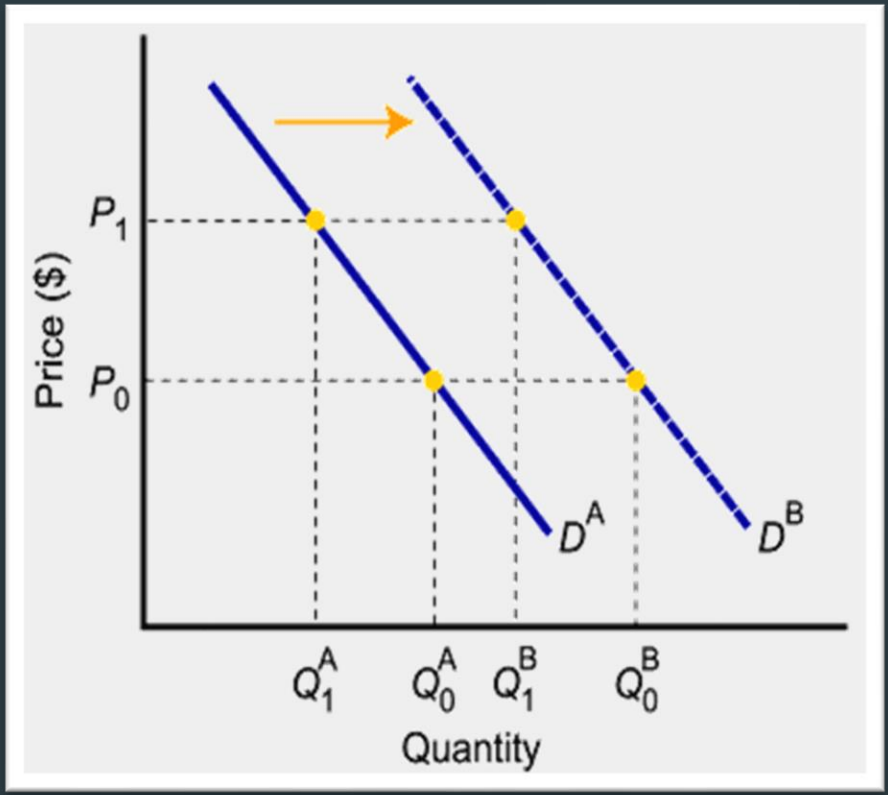


SHIFT OF DEMAND VERSUS MOVEMENT ALONG A DEMAND CURVE



- A change in demand is not the same as a change in quantity demanded.
- In this example, a higher price causes a lower quantity demanded.
- Changes in determinants of demand, other than price, cause a change in demand, or a shift of the entire demand curve, from DA to DB.

A CHANGE IN DEMAND VERSUS A CHANGE IN QUANTITY DEMANDED



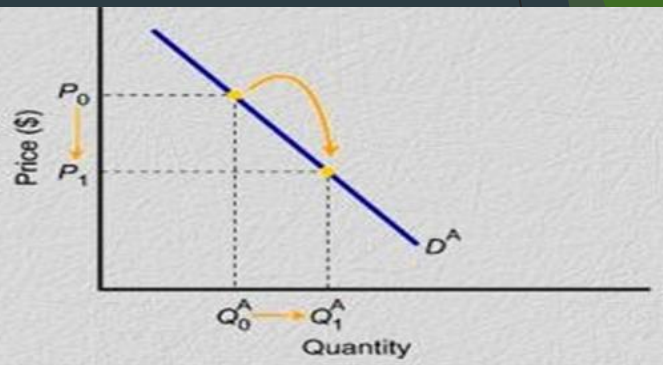
- When demand shifts to the right, demand increases. This causes the quantity demanded to be greater than it was before the shift, for every price level.

A CHANGE IN DEMAND VERSUS A CHANGE IN QUANTITY DEMANDED

TO SUMMARIZE:

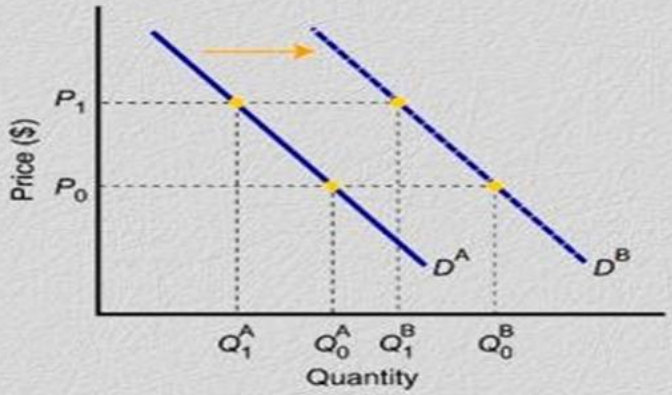
Change in price of a good or service leads to

Change in *quantity demanded* (**Movement along the curve**).



Change in income, preferences, or prices of other goods or services leads to

Change in demand (**Shift of curve**).



FACTORS AFFECTING THE SUPPLY CURVE

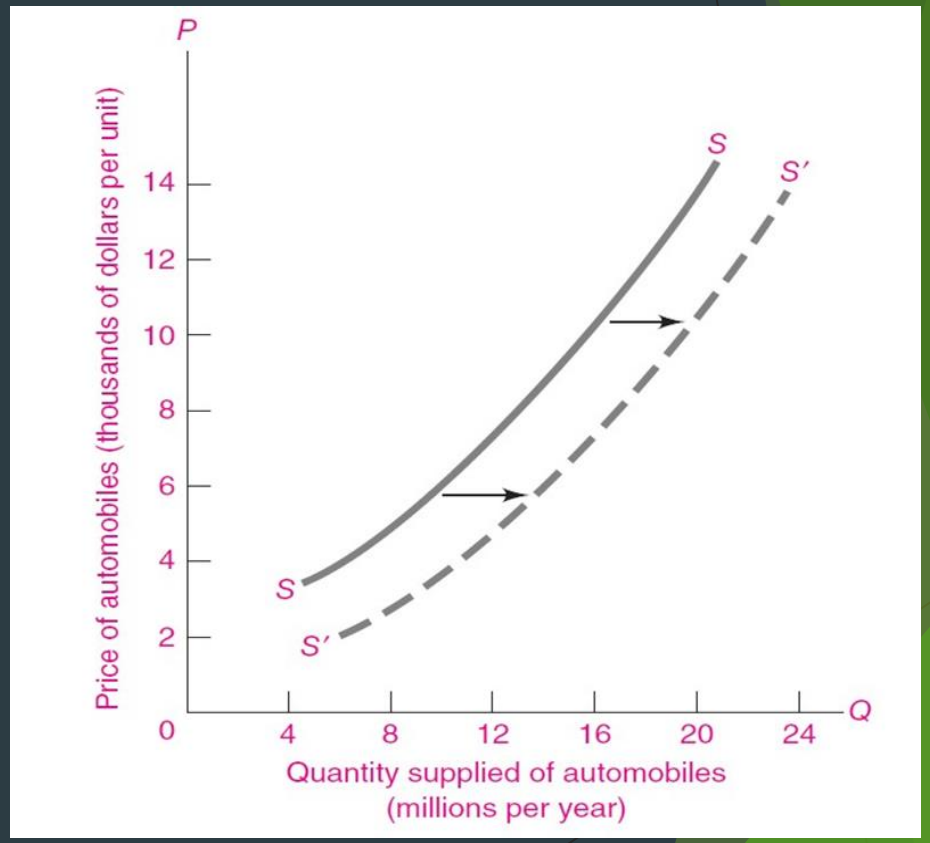
- Cost of production: When production costs for a good are low relative to the market price, it is profitable for producers to supply a great deal.
- Technology or Technological Advancement: Computerized manufacturing lowers production costs and increases supply.
- Input prices: A reduction in the wage paid to autoworkers lowers production costs and increases supply.
- Prices of related goods: If truck prices fall, the supply of cars rises.
- Government policy: Removing quotas and tariffs on imported automobiles increases the total automobile supply.
- Special influences: Internet shopping and auctions allow consumers to compare the prices of different dealers more easily and drive high-cost sellers out of business.

SHIFTS IN SUPPLY

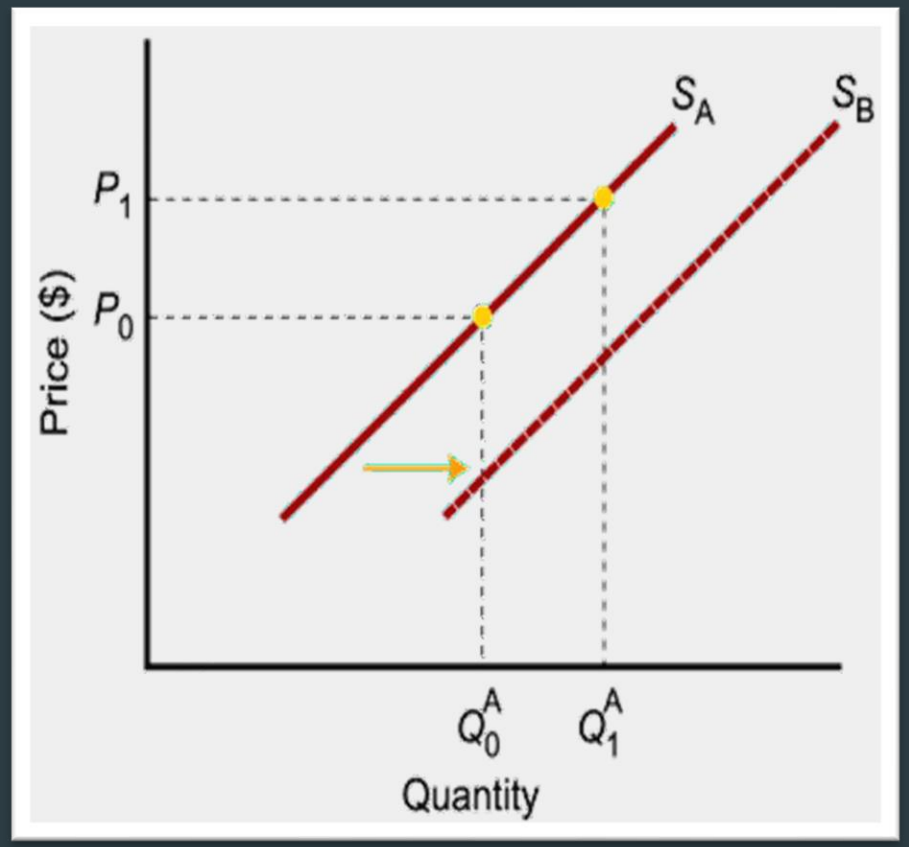
When changes in factors other than a good's own price affect the quantity supplied, we call these changes shifts in supply. Supply increases (or decreases) when the amount supplied increases (or decreases) at each market price.

SHIFTS IN SUPPLY

Here, as production costs fall, the supply of automobiles increases. At each price, producers will supply more automobiles, and the supply curve will shift to the right.

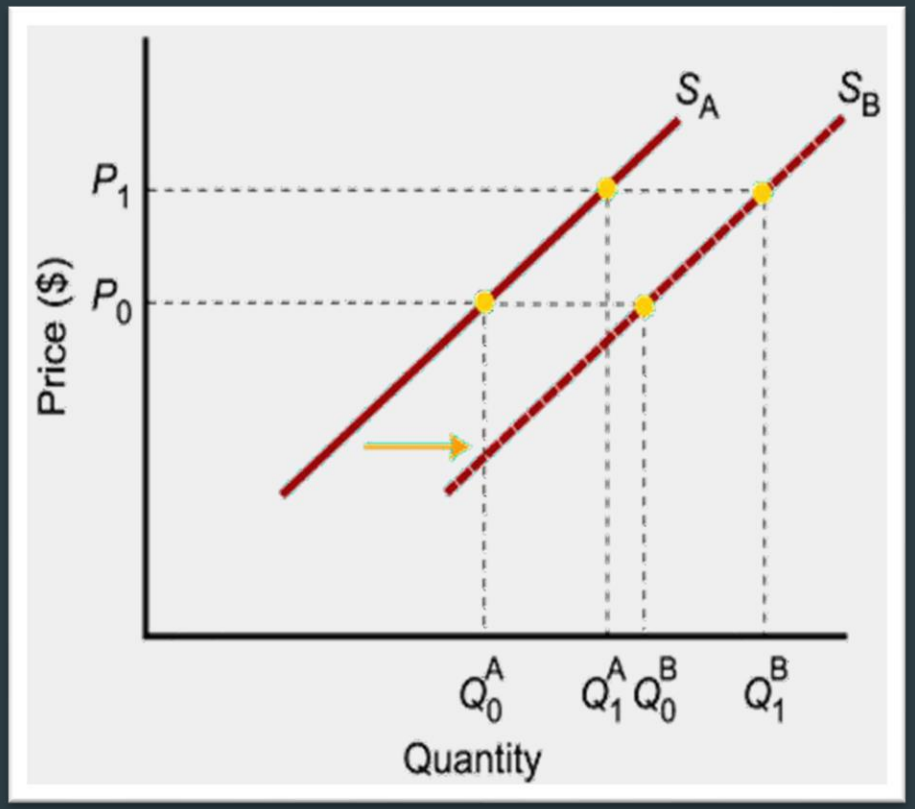


A CHANGE IN SUPPLY VERSUS A CHANGE IN QUANTITY SUPPLIED



- A change in supply is not the same as a change in quantity supplied.
- In this example, a higher price causes a higher quantity supplied, and a move along the supply curve.
- In this example, changes in determinants of supply, other than price, cause an increase in supply, or a shift of the entire supply curve, from SA to SB.

A CHANGE IN SUPPLY VERSUS A CHANGE IN QUANTITY SUPPLIED



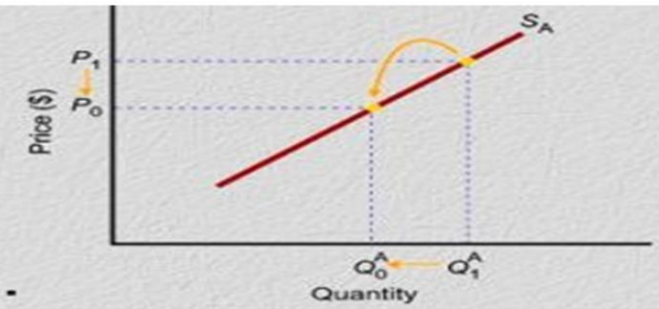
- When supply shifts to the right, supply increases. This causes the quantity supplied to be greater than it was prior to the shift, for each and every price level.

A CHANGE IN SUPPLY VERSUS A CHANGE IN QUANTITY SUPPLIED

TO SUMMARIZE:

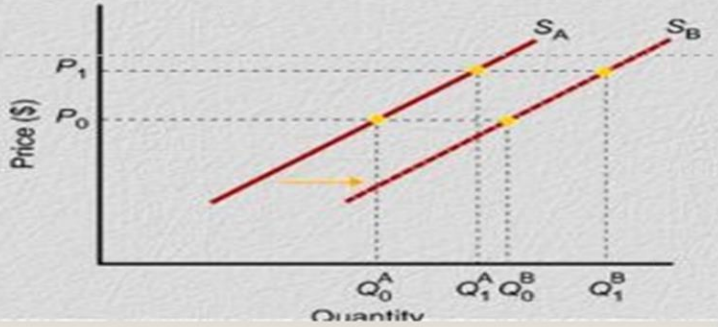
Change in price of a good or service leads to

Change in *quantity supplied* (**Movement along the curve**).



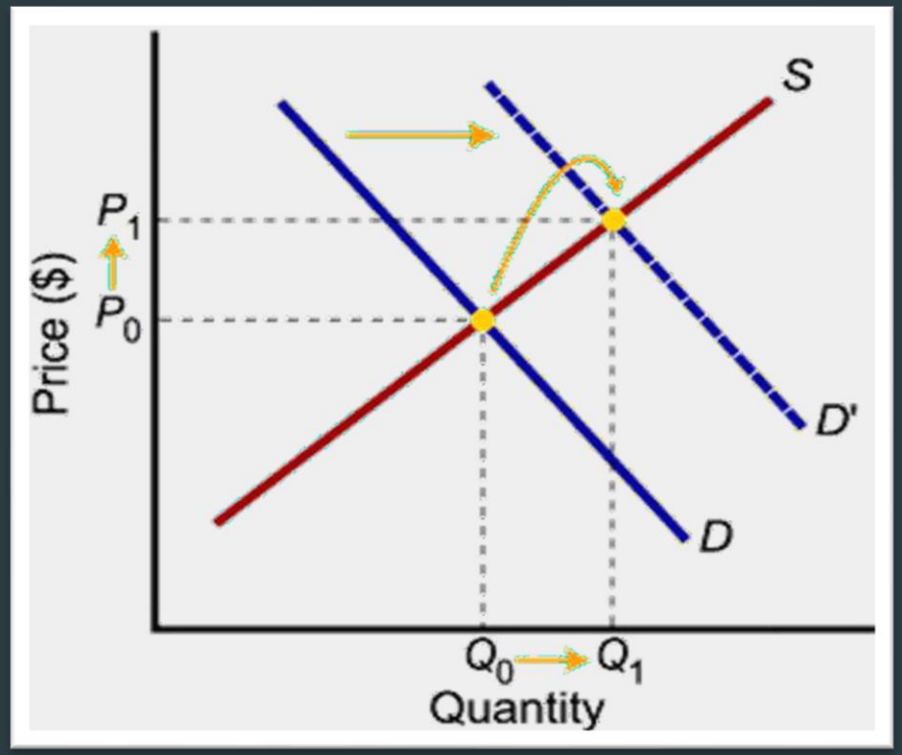
Change in costs, input prices, technology, or prices of related goods and services leads to

Change in supply (**Shift of curve**).

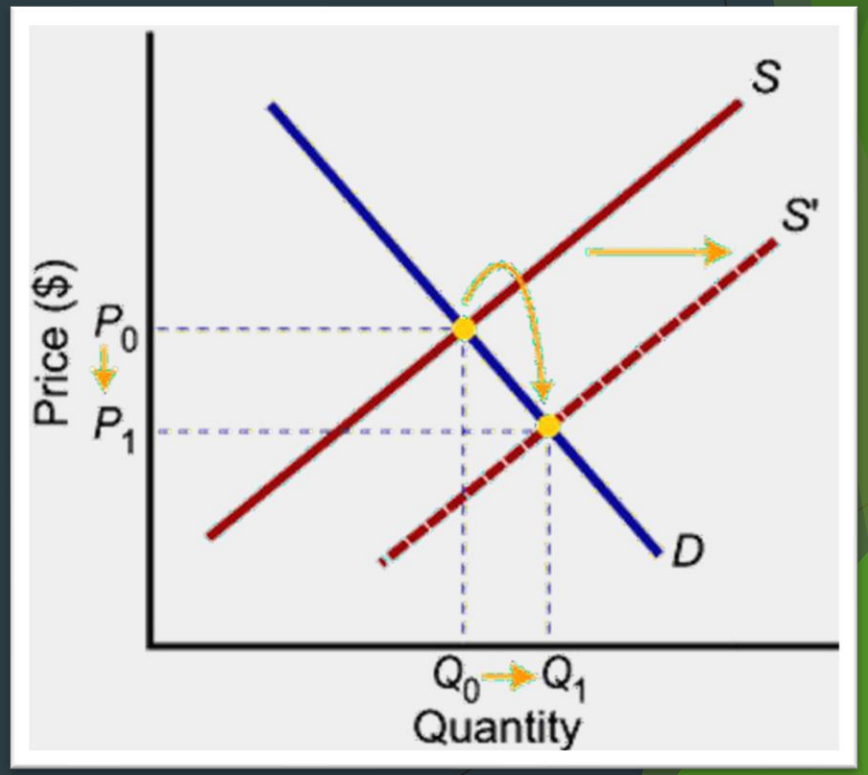


INCREASES IN DEMAND AND SUPPLY

HIGHER DEMAND LEADS TO HIGHER EQUILIBRIUM PRICES AND HIGHER EQUILIBRIUM QUANTITY.

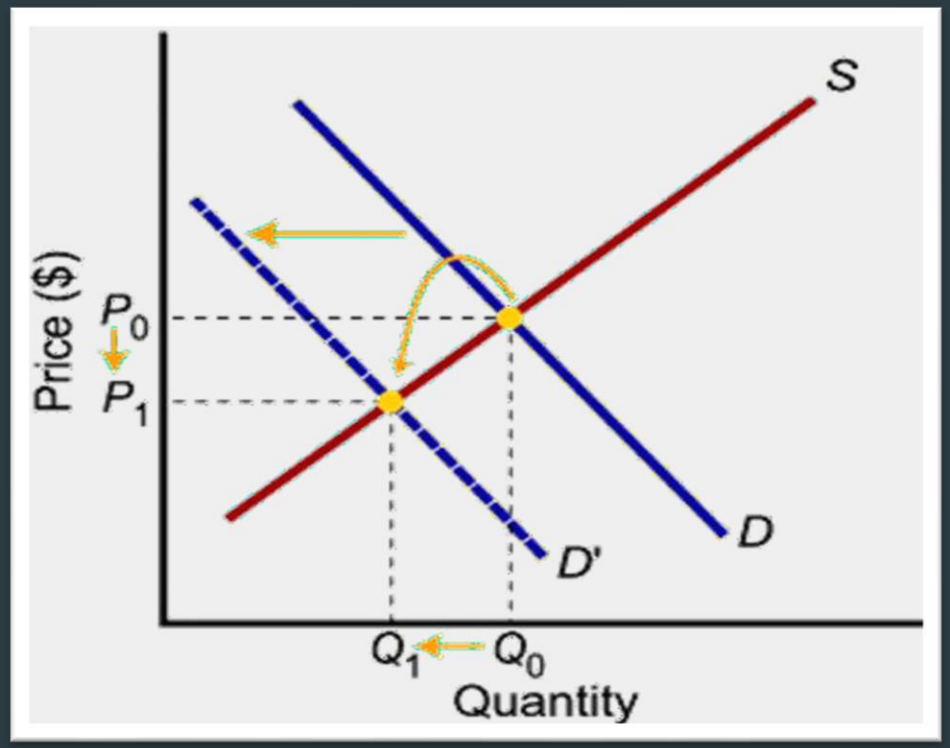
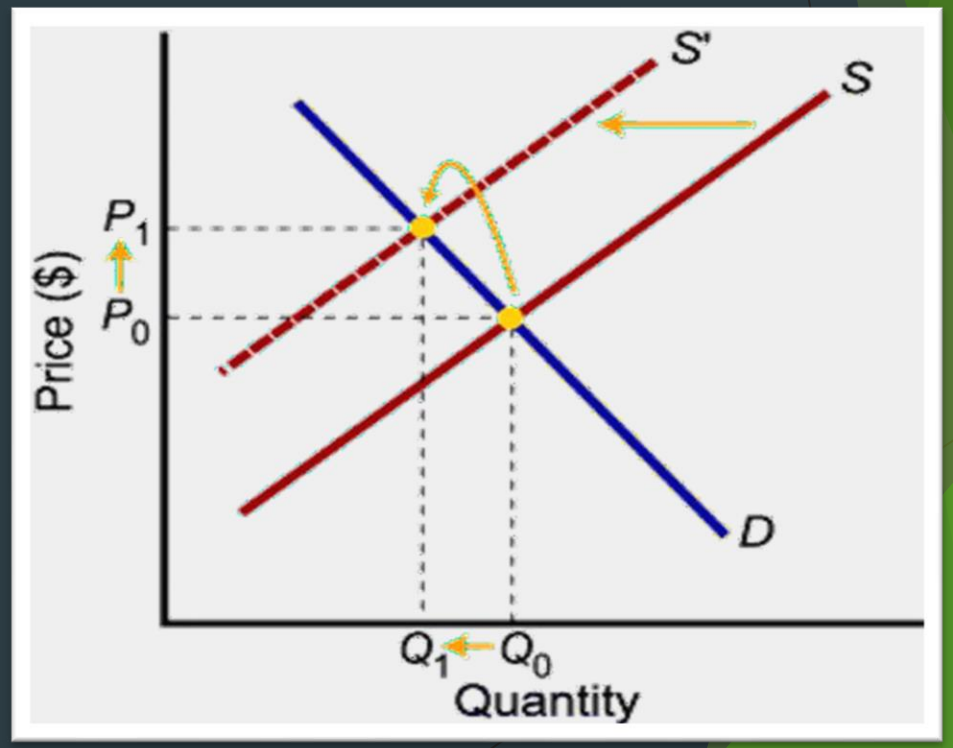


HIGHER SUPPLY LEADS TO LOWER EQUILIBRIUM PRICES AND HIGHER EQUILIBRIUM QUANTITIES.



DECREASES IN DEMAND AND SUPPLY

LOWER DEMAND LEADS TO LOWER PRICES AND LOWER QUANTITY EXCHANGED.



LOWER SUPPLY LEADS TO HIGHER PRICES AND LOWER QUANTITY EXCHANGED.